

THE MONOPOLIES AND MERGERS COMMISSION

Davy International Limited

and

**The British Rollmakers Corporation
Limited**

A Report on the Proposed Merger

*Presented to Parliament in pursuance of Section 83
of the Fair Trading Act 1973*

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†Note by the Department of Prices and Consumer Protection:

Mr G B Richardson has ceased to be a member of the Commission since the report was signed; Mr E L Phillips retired on 31 March 1974.

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Introduction

1. On 30 October 1973 the Department of Trade and Industry sent to the Commission the following reference:

Whereas it appears to the Secretary of State that arrangements are in progress or contemplation for a merger of Davy International Limited and The British Rollmakers Corporation Limited, being arrangements which, if carried into effect, will result in section 6(1)(a) and (b) of the Monopolies and Mergers Act 1965 being satisfied, in that,

- (i) enterprises carried on in the United Kingdom by or under the control of Davy International Limited will cease to be distinct from enterprises carried on by or under the control of The British Rollmakers Corporation Limited;
- (ii) the conditions described in section 6(1)(b)(i) of the Act will prevail or prevail to a greater extent as respects the supply in the United Kingdom of cast iron and cast steel rolls for metal rolling mills;
- (iii) assets of a value exceeding £5,000,000 will be taken over:

Now, therefore, the Secretary of State in exercise of his powers under section 6(7) of the Act hereby refers this matter to the Monopolies Commission for investigation and report.

The Commission shall report upon this matter by 1 March 1974*.

2. On 31 October 1973 the Chairman, acting under section 1 of, and paragraph 9 of Schedule 1 to, the Act, directed that the functions of the Commission in relation to the investigation under this reference should be discharged through a group consisting of eight members of the Commission, with himself as Chairman.

3. Section 6(7) of the Act requires the Commission to 'proceed in relation to the prospective . . . results of the arrangements proposed . . . as they might proceed in relation to the results of arrangements made immediately before the reference'. Thus we are required to treat the proposed merger as if it had already been completed.

4. Under section 6(2) of the Act we are required to investigate and report on the facts, that is whether section 6(1)(a) and (b) are satisfied and, if we find that they are, to investigate and report whether the proposed merger operates or may be expected to operate against the public interest. If we so find, we are to consider whether any and if so what action should be taken to remedy or prevent any resulting mischiefs and, if we think fit, we may include in our report recommendations as to such action.

5. We have held five hearings; two each with representatives of Davy International Limited (Davy) and The British Rollmakers Corporation

*Subsequently extended to 29 March 1974.

Limited (BRC); and one with representatives of the British Steel Corporation (BSC). Public notices inviting evidence were inserted in *The Financial Times*, *The Times*, *The Daily Telegraph*, the *Guardian* and *British Steelmaker*. Written evidence was sought from firms and trade associations in the steel-making and rollmaking industries and from the appropriate trade unions. Information was supplied to us by certain financial organisations which provide financial guarantees or support for Davy. Some of the evidence was of a commercially confidential nature and our report contains only such information as we consider necessary for an understanding of our conclusions.

6. We should like to place on record our thanks to all those who helped us in our inquiry, particularly the two companies principally concerned upon whom we made heavy demands for information and views.

7. This evidence was largely obtained before industrial production had been seriously affected by the recent curtailment of supplies of energy. Our report takes no account of the effects of this curtailment to date or of its possible effects in the future.

Davy's approaches to BRC

8. The history, activities and organisation of Davy and BRC are described in more detail in Chapters 3 and 4. Briefly, both companies manufacture cast rolls for metal rolling mills. Davy also designs, procures and erects plant for the process and metals industries; designs, manufactures and erects rolling mills; and manufactures certain electronic and other instruments for use in industry. In addition to cast rolls, BRC manufactures and factors machine tool equipment, mainly cutting tools and accessories.

9. The first informal approach with a view to the amalgamation of the roll-making interests of the two groups was made by Davy to BRC in August 1969. Nothing came of this. Davy again approached BRC in May 1971 with a view to the formation of a joint rollmaking company in which Davy would have a substantial shareholding. Mention was made at this meeting of a possible acquisition of a European rollmaking concern for the purpose of establishing a foothold in Europe. Further meetings took place between the two companies during the ensuing months. In September 1971, BRC informed Davy that it did not wish to continue discussions. BRC was at the time pursuing, on its own account, the possibility of an association with a European company. In August 1972 Davy decided to try once again to bring about a merger with BRC.

10. Between September 1972 and February 1973 Davy acquired on the open market just short of 10 per cent of the ordinary shares of BRC for the purpose of making its intentions clear. A series of three meetings between the two companies began in May 1973 when Davy increased its shareholding in BRC to over 10 per cent. BRC informed Davy at these meetings that it did not wish to merge with Davy. On 27 July 1973 Davy increased its shareholding in BRC to 29.98 per cent following information received that an association between BRC and a European rollmaker was again under examination.

11. Davy subsequently informed the Department of Trade and Industry that it intended to pursue a course of action leading to a merger. Up to the time of our inquiry Davy had made no formal offer to BRC's shareholders.

12. In September 1973 Davy informed BRC that it would like to have a representative on the BRC board of directors to facilitate the incorporation of its share of BRC assets and profits into the Davy financial accounts. BRC rejected this suggestion on the ground that the presence on the BRC board of a representative of its main competitor would be commercially unacceptable.